Excellent — I now have sufficient data to build the full memo. Let me compile everything.

ANNEXON, INC. (ANNX) — EQUITY RESEARCH MEMO

Senior Healthcare Analyst | Biotechnology / Clinical-Stage Immunology
Data as of: SEC XBRL FY2024/FY2025 filings; yfinance live quote July 7, 2026

Executive Summary

Annexon, Inc. (ANNX) is a clinical-stage biopharmaceutical company building a franchise around **C1q-targeted complement inhibition** — a mechanistically differentiated approach to complement-mediated neuroinflammatory and ophthalmic diseases. The company has **zero revenue** [1] and is entirely pre-commercial, burning approximately $186M in cash from operations annually [1]. The investment thesis is a **binary pipeline bet**: two late-stage registrational programs — tanruprubart (GBS) and vonaprument (geographic atrophy) — represent the entire near-term valuation catalyst stack. The stock has surged +118.3% [2] over the trailing 12 months, driven by Phase 3 data momentum and the prospect of a first-ever FDA-approved GBS therapy. At $5.96/share [2], the market cap stands at approximately $976.5M [2]. Cash on hand of $162M [1] provides a runway, but is rapidly declining. The bull probability model scores ANNX at 37.7% [3], reflecting the structurally negative cash burn against improving price momentum. **Verdict: SPECULATIVE / CATALYST-DRIVEN — position sizing must reflect binary trial risk.**

Business Overview

Annexon is a biopharmaceutical company focused on what the 10-K describes as "complement-mediated neuroinflammatory diseases that impact nearly 10 million people worldwide" [4]. Its scientific thesis centers on blocking the **classical complement pathway at its initiating molecule, C1q** — a strategy the company claims offers "more complete protection against complement-mediated disorders of the body, brain and eye" versus downstream inhibitors [4].

The company identifies three therapeutic pillars:
- **Autoimmune** (Guillain-Barré Syndrome via tanruprubart)
- **Neurodegeneration** (progressive neurodegenerative diseases)
- **Ophthalmology** (geographic atrophy via vonaprument)

A third asset, **ANX1502**, is an oral small molecule targeting autoimmune conditions and remains in early-stage development [4]. ANNX has no products approved for commercial sale and has never generated product revenue [1].

The company IPO'd and has financed itself exclusively through equity raises [1], consistent with a pure clinical-stage biotech model. There are no disclosed commercial partnerships or licensing collaborations generating meaningful income.

Pipeline / Product Portfolio

1. Tanruprubart (anti-C1q antibody) Guillain-Barré Syndrome (GBS)

- **Stage:** Phase 3 registrational (pivotal data already reported)
- **Mechanism:** Single-infusion IV anti-C1q antibody to rapidly halt acute neuroinflammation
- **Market context:** GBS affects approximately 150,000 patients annually worldwide [4]. There are currently **no FDA-approved therapies for GBS** and "no substantial evidence of effectiveness from the current standard of care" [4] — making this a significant unmet need designation candidate
- **Key result:** In the pivotal Phase 3 trial, "approximately 90% of GBS patients treated with tanruprubart improved by week 1 and more than twice as many treated patients achieved a normal state of health at week 26" [4]
- **Next catalyst:** The 10-K references active "GBS filings" preparation [4]; recent headlines confirm BLA/NDA regulatory submission planning as the next milestone
- **Risk:** FDA may require additional data; accelerated approval pathway not explicitly confirmed in available disclosures

2. Vonaprument (anti-C1q antibody) Geographic Atrophy (GA)

- **Stage:** Pivotal / Phase 3; data expected Q4 (per company guidance referenced in news headlines)
- **Mechanism:** Intravitreal C1q blockade to slow the complement-driven retinal degeneration underlying dry AMD's advanced form
- **Market context:** GA is a large and growing ophthalmology market; competitive context includes pegcetacoplan (Apellis) and avacincaptad pegol (Astellas/Iveric Bio) — both approved complement inhibitors for GA but targeting different pathway nodes
- **Key catalyst:** Q4 pivotal data readout described as a "win season" event per analyst/company commentary [5]
- **Risk:** Two prior complement inhibitors in GA showed only modest efficacy; C1q targeting upstream is differentiated but unproven in registrational setting

3. ANX1502 (oral small molecule) Autoimmune

- **Stage:** Preclinical / early development [4]
- **Significance:** Represents the company's effort to build a non-injectable franchise; too early to model

Pipeline Summary Table

Asset	Indication	Stage	Nearest Catalyst
Tanruprubart	GBS	Phase 3 complete / BLA prep	Regulatory filing / PDUFA date
Vonaprument	Geographic Atrophy (GA)	Phase 3 / Pivotal	Q4 data readout

ANX1502	Autoimmune	Early-stage	TBD

Revenue & Margin Analysis

ANNX is **pre-revenue**. There is no recorded product revenue, cost of revenue, or gross profit for FY2024 or FY2025 [1]. The company's entire income statement is defined by operating losses.

Metric	FY2024	FY2025	YoY Change
Revenue	$0	$0	N/A [1]
Operating Income	-$154M	-$216M	-40.3% [3]
Net Income	-$138M	-$207M	-50.0% [3]
Basic EPS	-$1.01	-$1.34	-32.7% [1]

- The operating loss widened by **-$62M or -40.3%** year-over-year [3], driven entirely by increasing R&D expenditure and G&A scale-up as both late-stage programs progressed
- EPS deteriorated from -$1.01 [6] to -$1.34 [1], worsened further by dilution from equity raises
- **No margin analysis is applicable** — the company has no gross margin, EBITDA, or operating leverage to evaluate until product approval and launch
- The forward P/E is a meaningless -6.45x [2] given negative earnings; valuation is properly assessed on a probability-weighted NPV / option-value framework

Patent Expiration / LOE Exposure

As a clinical-stage company with **no approved products**, there is no Loss of Exclusivity (LOE) revenue exposure to quantify. However, the 10-K identifies intellectual property risk as material:

- "If we are unable to obtain, maintain and enforce intellectual property protection directed to our current and any future technologies that we develop, others may be able to make, use or sell products substantially the same as ours, which could adversely affect our ability to compete in the market." [7]
- The 10-K references the company's focus on "the projected terms of patent protection" as a forward-planning consideration [8]
- **Specific patent expiration dates, claim scope, and composition-of-matter filing dates are not disclosed** in the sections available through SEC semantic search — this is common for pre-commercial biotechs and should be examined in the full patent annex

Bottom line: LOE is not a near-term risk given no commercial product. The IP cliff risk here is foundational — failure to secure broad composition-of-matter patents before data readouts could expose lead assets to fast-following biosimilar competition if and when they reach market.

Balance Sheet

Metric	FY2024	FY2025	YoY Change

Total Assets	$350M	$278M	-20.6% [3]
Current Assets	$316M	$242M	-23.4% [3]
Cash & Equivalents	$49M	$162M	+230.6% [3]
Total Liabilities	$57M	$66M	+15.8% [3]
Current Liabilities	$31M	$43M	+38.7% [3]
Long-Term Debt	N/A	N/A	[1]
Total Equity	$293M	$212M	-27.6% [3]

Key observations:

Cash jump is equity-raise driven: Cash surged from $49M [6] to $162M [1] — a +$113M increase — while financing cash flow contributed +$109M [1], confirming a significant equity offering. Total equity simultaneously fell, indicating the raise partially offset but did not reverse accumulated deficit growth

Debt-free: Long-term debt is reported as N/A / zero [1] — the company operates with a clean, leverage-free capital structure. The D/E ratio of 12.44x reported by yfinance [2] likely reflects the computed ratio against book equity being eroded by cumulative losses, not traditional financial debt

Burn rate math: At $186M OCF burn [1] against $162M cash [1], the company has approximately **10–11 months of cash runway at current run rate** — a critical near-term risk. This calculation assumes constant quarterly burn, which may be conservative if expenses plateau post-trial enrollment close [3]

Declining asset base: Total assets contracted from $350M [6] to $278M [1], a -$72M or -20.6% decline [3], consistent with cash consumption. The P/B of 4.73x [2] reflects the market assigning a premium over eroding book value — justified only if pipeline NPV materializes

---

R&D Investment

ANNX does not separately break out R&D vs. G&A in the XBRL data captured. However:

- **Operating loss of $216M** [1] with zero revenue is essentially equal to total operating spend; the vast majority is R&D for a clinical-stage biotech
- **Operating cash outflow of $186M** [1] in FY2025 vs. -$118M in

---

Sources

[1] SEC XBRL FY2025
[2] yfinance — live
[3] computed from SEC XBRL
[4] SEC 10-K Item 1 - Business
[5] yfinance — live sentiment data
[6] SEC XBRL FY2024
[7] SEC 10-K Item 1A - Risk Factors
[8] SEC 10-K Item 8 - Financial

Source Provenance

- **SEC EDGAR** (primary): structured XBRL facts and 10-K text — official filings for ANNX at https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0001528115&type=10-K&dateb=&owner=includ
- **FRED, Federal Reserve Bank of St. Louis** (macro series): https://fred.stlouisfed.org
- **Market data and news sentiment**: live quotes and headlines via Yahoo Finance, VADER sentiment on recent headlines

---

Important Disclaimer

For Educational and Informational Purposes Only. This platform was built as an academic project (Fordham Gabelli AIGB 6317 — Machine Learning and LLMs) and the analyses, memos, ratings, stage classifications, and signals generated by it are **not investment advice** and **not a recommendation to buy, sell, or hold any security**.

The investment theory, in plain language. OROS does not rely on a single theory. It runs eight classic strategies side by side as equal peers, each named for the author it comes from:

- **Weinstein** (stage analysis): is the stock in a healthy uptrend above a rising 30 week average.
- **Minervini** (SEPA trend template): does the price pass a checklist of trend conditions.
- **O'Neil** (CANSLIM): is it a leader near new highs with strong momentum and volume.
- **Lynch** (growth at a reasonable price): is the growth cheap relative to its rate.
- **Graham** (value): is it inexpensive on classic value measures.
- **Technical**, **Swing**, and **O'Neil/Minervini** (new issues): indicator, short term, and IPO setups.

A market regime check (bull, neutral, or bear, read from the broad market and volatility) then decides how much to trust each strategy today and how much cash to hold, and the chosen mandate sets the starting blend. A name is selected because several of these authors agree on it under the current regime, not because of any one rule. The Trader tab chart shows the Weinstein view (price versus the 30 week line), and the Research tab shows the deeper cited write up.

Methodology is one of many approaches. These strategies, the specialist agent rubrics, and the `bull_prob` composite score are heuristics. They are one lens among many used by professional investors and **do not guarantee any outcome**. Past stage classifications and historical patterns are not indicative of future results.

Known limitations and risks:
- **Model assumptions** — `bull_prob` weights (momentum, revenue growth, OCF growth, sentiment, leverage delta) are fixed; classifier and specialist outputs depend on a large language model that can hallucinate or err.

- **Data quality** — SEC XBRL, FRED, yfinance, and FMP data can be delayed, revised, or incorrect; live quotes may be 15+ minutes stale.
- **Changing market conditions** — macro regime, interest rates, and sector rotation shift faster than any static model can adapt.
- **Coverage gaps** — limited ticker universe across a small number of sectors; some sectors (e.g. healthcare, conglomerates) have known retrieval weaknesses.

Not personalized. This tool does not consider your individual risk tolerance, liquidity needs, tax situation, time horizon, or overall portfolio construction. **Consult a licensed financial advisor before making any investment decision.**

Generated by Ai-Agent Stock Analyzer · Fordham Applied Finance Project